EXECUTIVE COMMITTEE · DISCUSSION DOCUMENT

Lakeshore Mutual Bank: start AI in finance with close and AP work

Decision: approve a three-wave roadmap over 18 months and the $4.0M budget.

Approve a phased roadmap that starts with close and AP work, where 60% of the hours sit

11

Business days to close the month

▲ +5 vs peer median of 6

58,000

Hours a year AI could save, five use cases

60% in wave one

$4.0M

Budget for the full roadmap

Over 18 months, three waves

SITUATION

Close takes the largest share of time

Close and reconciliation take 34% of the time in a 210-person finance team, the largest share. Month-end close runs 11 business days against a peer median of 6.

COMPLICATION

Manual work is slowing the close

The team posts 4,800 manual journal entries a month. The bank had 3 regulatory restatements in 2024.

RESOLUTION

Start with reconciliation and AP coding

These two use cases hold 35,000 of the 58,000 hours a year that clients estimate AI could save. Fund three waves within $4.0M over 18 months.

Source: material.md (internal survey, client benchmark, client hour estimates); team analysis

Close and reconciliation take the most time, and reconciliation and AP the most hours

Branch A: share of finance time. Branch B: client-estimated hours saved a year, by use case.

BRANCH A **Where the time goes** % of finance time

Area	Share
Close and reconciliation	34%
Reporting	22%
FP&A	18%
AP/AR	14%
Regulatory reporting	12%
Total	**100%**

BRANCH B **Which use cases return hours** hours a year, client estimates

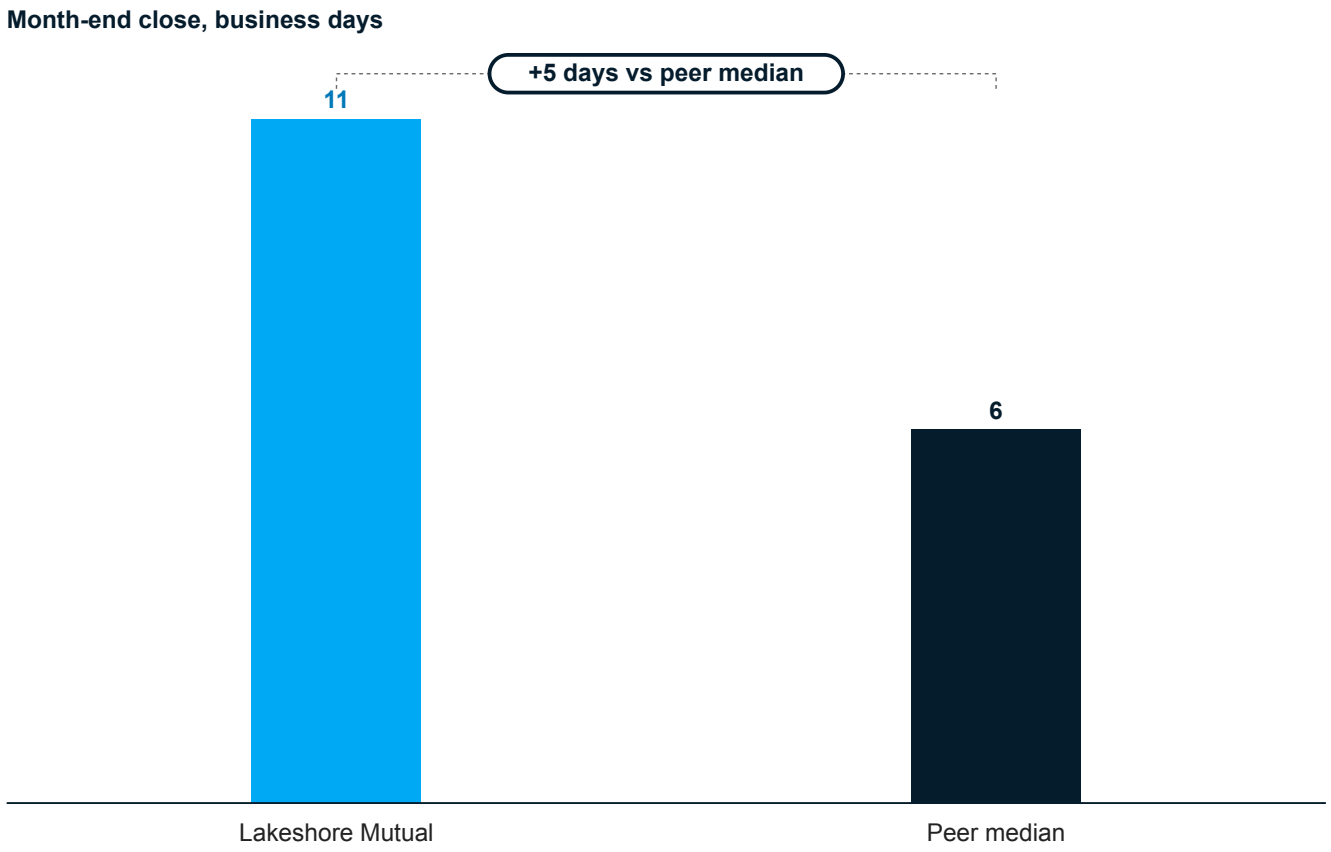
Use case	Hours
Reconciliation matching	21,000
AP invoice coding	14,000
Flux commentary	9,500
FP&A forecasting	7,500
Reg report validation	6,000
Total	**58,000**

Source: material.md, internal survey (Branch A); client estimates of annual hours saved (Branch B); team analysis

Month-end close runs 11 business days, 5 more than the peer median

Business days to close the month, Lakeshore against the peer median

EXHIBIT 1 **Close duration against peers** business days



WHAT SITS BEHIND THE GAP

- Close and reconciliation take 34% of finance time, the largest share.
- 4,800 manual journal entries a month feed the close.
- Regulatory reporting had 3 restatements in 2024.

The gap sits in manual work, and manual work is where AI reaches first.

Source: material.md, month-end close and client-commissioned peer benchmark (median; method is open item, slide 10); internal survey; manual journal count and restatements from client

Reconciliation and AP invoice coding reach 60% of estimated hours with two use cases

Client-estimated hours saved a year, by option; share of the 58,000 hours across five use cases

EXHIBIT 2 **Four options against the do-nothing baseline** hours a year; % of 58,000

Option	Use cases	Hours a year	Share	What it leaves open
A. Do nothing (baseline)	0	0	0%	Close stays at 11 days against a peer median of 6. 4,800 journals a month stay manual.
B. Reconciliation matching only	1	21,000	36%	AP invoice coding and flux commentary stay manual.
C. Reconciliation and AP invoice coding (recommended)	2	35,000	60%	Flux, regulatory validation and FP&A follow in waves two and three.
D. All five use cases at once	5	58,000	100%	Full spend before any wave shows its hours. Budget split is an open item.

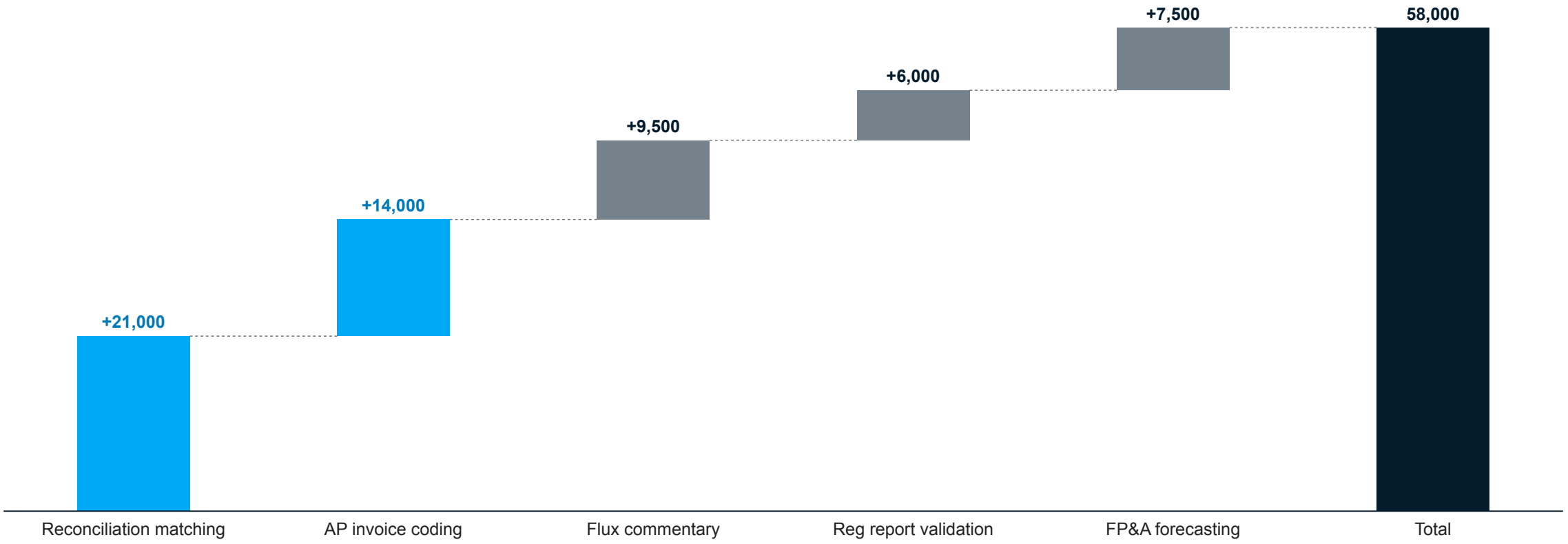
Source: material.md, client hour estimates by use case; team analysis. Option D is the do-everything case; no wave gate.

Five use cases add 58,000 hours a year, and wave one delivers 35,000 of them

Hours saved a year by use case, client estimates, highlighted bars are wave one

EXHIBIT 3 **Hours bridge to the full roadmap** hours a year

Estimated hours saved a year, client estimates, by use case



Source: material.md, client estimates of annual hours saved by candidate use case; team sum and wave grouping (proposed) on the next page

Three waves over 18 months, with wave one live inside six months

Wave windows and use cases are a team proposal; hours are client estimates; budget by wave is open

Wave 1 · months 0 to 6

Reconciliation matching and AP invoice coding

Wave 2 · months 6 to 12

Flux commentary and regulatory report validation

Wave 3 · months 12 to 18

FP&A forecasting

EXHIBIT 4 **Hours and budget by wave** hours a year; $ in millions

Wave	Hours a year	Share	Budget
Wave 1	35,000	60%	*DATA NEEDED: cost by use case*
Wave 2	15,500	27%	*DATA NEEDED: cost by use case*
Wave 3	7,500	13%	*DATA NEEDED: cost by use case*
Total	**58,000**	**100%**	**$4.0M**

Wave one alone holds 60% of the estimated hours, so its cost sets the case. Waves two and three are released only after wave one reports.

Source: material.md, client hour estimates and budget available; wave grouping is a team proposal

The case holds if client hour estimates survive a wave-one pilot

What the roadmap assumes, and the test that would show each assumption is wrong

EXHIBIT 5 **Assumptions and the tests that would reverse them**

Claim	What we believe	How we would know we are wrong
Hours	58,000 hours a year can be saved across five use cases, per client estimates.	Pilot time records show less saving than estimated for reconciliation or AP coding.
Close gap	Close runs 5 business days behind peers (11 against 6).	An independent benchmark gives a different peer median, or the close calendar shows the gap is mostly fixed timing, not work.
Control	Regulatory report validation reduces restatements from the 3 seen in 2024.	Restatements stay at the 2024 level after wave two is live.

Source: material.md (client estimates, client-commissioned benchmark, 2024 restatements); team analysis

Approve the three-wave roadmap and the $4.0M budget, starting with wave one

35,000 hours a year from wave one, 60% of the estimated total, inside the $4.0M envelope, with the split by wave still open.

Approve roadmap and budget	Name wave-one owners	Cost each use case	Start the wave-one pilot
Executive committee · today	CFO · within two weeks (proposed)	CFO office · month one (proposed)	Named owners · month one (proposed)

EXHIBIT 6 **Decisions requested today**

Decision	Scope	Condition
1. Approve the roadmap	Three waves, five use cases, 18 months	Wave two starts only after wave one reports
2. Approve the budget envelope	$4.0M over 18 months	Cost split by use case and by wave is tabled before release (see open items)
3. Name wave-one owners	Reconciliation matching and AP invoice coding	Owners named by the executive committee (see open items)

Source: material.md (budget available, client hour estimates); team proposal for owners and timing

Three open items gate the budget, and two more are questions to answer

EXHIBIT 7 **Every gap in this deck, what closes it and who owns it**

Item	Slide	Closes it	Owner	Decision?
Loaded cost per finance hour, to turn 58,000 hours into dollars	6	Payroll cost by role from HR	CFO office	CHANGES THE DECISION
Budget split by use case and by wave	7	Vendor and build quotes	CFO office	CHANGES THE DECISION
Named owner for each wave	9	Executive committee nomination	Executive committee	CHANGES THE DECISION
Prior-year journal volume and restatement count, for a trend	4	2023 journal log and regulatory filings	Financial controller	WORTH A QUESTION
Peer median method and date behind the 6-day figure	4	Client-commissioned benchmark report	CFO office	WORTH A QUESTION

Source: this deck; material.md lists no cost, owner or prior-year figure

Appendix: every figure in this deck, its definition and its source

A1 Definitions and sources

Figure	Definition used in this deck	Source
34% · 22% · 18% · 14% · 12%	Share of finance time by area, internal survey	material.md, internal survey
11 and 6 business days	Month-end close, Lakeshore and peer median	material.md, client-commissioned benchmark
4,800 a month · 3 in 2024	Manual journal entries a month; regulatory restatements in 2024	material.md, client data
58,000 hours a year	Sum of five client-estimated annual hours saved	material.md, candidate use cases; team sum
$4.0M	Budget available over 18 months	material.md
$14.2B · 96 branches · 210 FTE	Context: assets, branch count and finance headcount	material.md, client profile

Source: client material supplied for this deck (material.md)